

Probationary Officers Recruitment Examination

Pre-Examination Training

Descriptive Paper (Communication Skills)

Set-2

- 1. Write an email to your Regional Manager requesting a one-week leave to attend to a medical emergency in your family, ensuring you mention the colleague who will handle your urgent tasks.**
- 2. A staff member is caught sharing their login credentials with a colleague to "speed up work" during peak hours. Analyze the potential risks and outline the necessary disciplinary actions.**
- 3. Prepare a report summarizing the findings of a recent internal audit regarding "Delayed Coming of staff members" to the branch and suggest corrective measures.**
- 4. Write a suitable title and summarize the following passage in one-third of the total words.**

The issue of Non-Performing Assets (NPAs) has been one of the biggest challenges faced by the Indian banking sector. Rising NPAs affected the profitability, lending capacity, and overall financial stability of banks. To address this problem and establish a time-bound mechanism for insolvency resolution, the Government of India introduced the Insolvency and Bankruptcy Code (IBC) in 2016.

The IBC brought a significant transformation in the process of dealing with stressed assets by creating a unified legal framework for insolvency resolution. Before the introduction of the IBC, recovery mechanisms were often slow due to multiple laws and prolonged legal procedures. The IBC established a structured process under which creditors could initiate insolvency proceedings against defaulting companies, with the objective of maximising asset value and ensuring faster resolution.

One of the major impacts of the IBC has been the improvement in recovery prospects for banks. The Code strengthened the position of financial creditors by giving them a greater role in the resolution process through the Committee of Creditors. It encouraged borrowers to settle defaults early due to the possibility of losing control over their businesses. This change created greater accountability among corporate borrowers and improved credit discipline.

The IBC has also helped banks recover substantial amounts from stressed accounts and reduce the burden of NPAs. Several large corporate insolvency cases have been resolved through this mechanism, enabling banks to clean their balance sheets and restart lending activities. The fear of insolvency proceedings has also encouraged companies to become more responsible in managing their financial obligations.

However, the implementation of the IBC has faced certain challenges. Delays due to litigation, shortage of insolvency professionals, and capacity constraints of the National Company Law Tribunal (NCLT) have affected the objective of time-bound resolution. Additionally, recovery rates in some cases have been lower than expected due to deterioration in asset value during prolonged proceedings.

In conclusion, the Insolvency and Bankruptcy Code has been a landmark reform in improving the recovery framework for NPAs in India. Although challenges remain, the IBC has strengthened the credit ecosystem, enhanced financial discipline, and provided banks with an effective tool for resolving stressed assets. Continuous reforms and efficient implementation will further increase its effectiveness in strengthening the Indian banking system.